Claude's Response:

In-place NOI: $98,100. Going-in cap rate: 5.61% on the $1,750,000 asking price.

	Monthly	Annual
Units 101–107 (7 × $1,450)	$10,150	$121,800
Units 108–109 (2 × $1,375)	$2,750	$33,000
Unit 110 (effective, $1,500 × 11/12)	$1,375	$16,500
Unit 111 (vacant)	$0	$0
Unit 112 (manager, non-paying)	$0	$0
In-place rental income	**$14,275**	**$171,300**
Other income (TTM)		$6,600
Effective gross income		**$177,900**
Operating expenses (TTM)		($79,800)
NOI		**$98,100**

The cap rate is $98,100 ÷ $1,750,000 = **5.61%**.

How I set up the calculation

- **Unit 112 counts as $0 income, with no added payroll line.** The expense sheet has no payroll line, so the forgone rent is the manager's compensation. Adding a payroll expense on top of the $0 would count that cost twice.
- **Replacement reserves ($3,400) are kept in expenses**, because the sheet includes them. Many buyers and brokers put reserves below NOI. Without them, NOI is $101,500 and the cap rate is **5.80%**.

Why this matters: if you take the rent roll at face value, with all 12 units paying and 110, 111 and 112 at their listed rents, NOI comes to $135,000 and the cap rate to **7.71%**. Adjusting for the vacant unit, the manager's unit and the free month removes about 210 basis points. If the broker's offering memo quotes a cap rate in the 7s, that gap is the reason.

Two leases to check before relying on these numbers. Unit 109's lease expired 2026-09-14, after the rent roll date, so confirm whether that tenant renewed or moved out. Unit 103's lease expires 2026-10-31.

My NOI Sheet:

noi-worksheet

NOI worksheet	Cedar Ridge Apartments	
Fill the Amount column. The labels are already here.		
Line	Amount	How to think about it
1. Gross potential rent (annual)	$206,700.00	Every unit at its rent roll figure for 12 months
2. Less vacancy loss	-$18,000.00	What the vacant unit does not collect
3. Less non-revenue units	-$17,400.00	Any occupied unit that pays no rent
4. Less concessions (year one)	-$1,500.00	Free rent given in the first year of a lease
5. Effective rental income	$169,800.00	Line 1 minus lines 2 3 and 4
6. Plus other income	$6,600.00	From the operating expense summary
7. Effective gross income	$224,700.00	Line 5 plus line 6
8. Less operating expenses	-$79,800.00	From the operating expense summary
9. In-place NOI	$144,900.00	Line 7 minus line 8
10. Asking price	1750000	Given
11. Going-in cap rate	0.0828	Line 9 divided by line 10
When you have line 9 and line 11, stop. Do not ask an AI yet.		
Then hand the rent roll and the expense summary to your AI and ask for the same two figures.		

Line-by-line Analysis:

Line 1: The AI is correct; I subtracted the free month twice. My $206,700 works out to Unit 110 at $1,375, which is its rent after the free month.

Line 7: The AI is correct. The arithmetic doesn't follow from lines 5 and 6. Line 5 plus line 6 is $169,800 + $6,600 = $176,400, but my cell says $224,700.